

ITEM WISE EDITORIAL ... 18th June, 2019



INDIA-USA RELATIONS ... WHAT WENT WRONG?



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EDITORIALS

... DISCUSSION

18th JUNE, 2019

19

Gloves off on trade

As India finally imposes retaliatory tariffs on U.S. goods, flexibility should inform policy

The government's decision to finally go ahead and impose retaliatory tariffs on 29 U.S. goods with effect from June 10, almost a year after it first announced them, unambiguously signals that on trade India has decided to join issue with President Donald Trump's protectionist administration. Clearly, the trigger for the move was the U.S. withdrawal of duty-free access to Indian exporters under the Generalized System of Preferences (GSP) from June 5. Mr. Trump chose to go ahead and proclaim on May 31 that he was terminating India's designation as a beneficiary developing country over Delhi's failure to assure the U.S. of "equitable and reasonable access to its markets", notwithstanding the fact that Prime Minister Narendra Modi and his new Council of Ministers had just been sworn in the previous day. This reflects an unwillingness to meet India halfway on trade. Not that there had been no warning lights flashing. On a visit to New Delhi in early May, U.S. Commerce Secretary Wilbur Ross had made no bones about the administration's perception of India being a "tariff king" that adopted "overly restrictive market access barriers". Mr. Ross had also threatened India with "consequences" were it to impose the retaliatory tariffs. Now, the government led by Mr. Modi and his key interlocutors on trade, including the new External Affairs Minister S. Jaishankar and Commerce Minister Piyush Goyal, have sent a strong message that India is not going to be compelled to negotiate under duress.

The change in tack on India's part also indicates that it is done, at least for now, with a more conciliatory stance after it had kept delaying the imposition of retaliatory tariffs over the past 12 months. During that period India had not only to contend with the withdrawal of GSP status but also had to, under a U.S. ultimatum, terminate its imports of vital crude oil from Iran, with which it has had a long-standing and strategic relationship. To be sure, India has much at stake in ensuring that economic ties with its largest trading partner do not end up floundering on the rocky shoals of the current U.S. administration's approach to trade and tariffs, one that China has referred to as "naked economic terrorism". Trade is not, and must not be viewed as, a zero-sum game. To that end, the government ought to review with flexibility some of its decisions such as the data localisation requirements and the new e-commerce regulations that have become a sore point with the U.S. side, including business investors. Indian trade negotiators also need to impress upon their American counterparts the importance of ensuring that market access for Indian services exporters remains free of new, restrictive visa rules. The counter-tariffs have now left the Indian side a bargaining chip that the U.S. Secretary of State, Mike Pompeo, will have to grapple with during his visit later this month.

UPSC CSE – GS II

GS II ... International Relations

Effect of policies and politics of developed and developing countries on India's interests, Indian diaspora.

DRAFT QUESTION

Critically examine various pain points in USA – India relations in recent times.

THE HINDU
INDIA'S NATIONAL NEWSPAPER SINCE 1878

18th June, 2019



19 Gloves off on trade: on India-U.S. tariff row

As India finally imposes retaliatory tariffs on U.S. goods, flexibility should inform policy

The government's decision to finally go ahead and impose retaliatory tariffs on 29 U.S. goods with effect from June 16, almost a year after it first announced them, unambiguously signals that on trade India has decided to join issue with President Donald Trump's protectionist administration. Clearly, the trigger for the move was the U.S. withdrawal of duty-free access to Indian exporters under the Generalised System of Preferences (GSP) from June 5. Mr. Trump chose to go ahead and proclaim on May 31 that he was terminating India's designation as a beneficiary developing country over Delhi's failure to assure the U.S. of "equitable and reasonable access to its markets", notwithstanding the fact that Prime Minister Narendra Modi and his new Council of Ministers had just been sworn in the previous day. This reflects an unwillingness to meet India halfway on trade. Not that there had been no warning lights flashing. On a visit to New Delhi in early May, U.S. Commerce Secretary Wilbur Ross had made no bones about the administration's perception of India being a "tariff king" that adopted "overly restrictive market access barriers". Mr. Ross had also threatened India with "consequences" were it to impose the retaliatory tariffs. Now, the government led by Mr. Modi and his key interlocutors on trade, including the new External Affairs Minister S. Jaishankar and Commerce Minister Piyush Goyal, have sent a strong message that India is not going to be compelled to negotiate under duress.

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USA WITHDRAWS GSP FROM 5th JUNE & INDIA IMPOSES TARIFFS FROM 16th JUNE



- Generalized System of Preferences is US Trade Programme.
- It is designed to promote economic growth in the developing world.
- It provides preferential duty free entry up to 4,800 products from 129 designated countries and territories.
- Instituted on January 1, 1976.
- It requires periodical re-authorization.
- India is able to export around 2,000 product lines to US under zero tariff.

WHY USA IS NOT HAPPY WITH INDIA?

UNITED STATES

INDIA

- USA has trade deficit with India and it feels that India is not giving equitable and reasonable access to its markets.
- US is not happy on high tariffs imposed by India on Harley-Davidson motorcycles.
- Donald Trump's strategy of "America First" policy.
- Tightening of e-commerce norms in Marketplace Model effects companies like Amazon, Walmart owned Flipkart.
- Data Localization norms effects Visa and MasterCard.

Indian exports to the US in 2017-18 stood at \$48 billion and imports at \$27 billion. There is \$21 billion trade deficit. China referred USA as resorting to "Naked Economic Terrorism".

WHY INDIA IS NOT HAPPY WITH USA?

UNITED STATES

- End of the waivers for Iran oil.
- No clarity under CAATSA on S400 Missile Defence Systems purchase from Russia.
- Ending Generalized System of Preferences benefits from June 5.
- Afghan negotiations going on without Afghan Government.
- Limited market access for Indian services exporters and there are visa curbs for the professionals.

INDIA

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